

Collateral Squeeze



After Lehman Brothers' bankruptcy on September 15, 2008, the pressures surrounding funding which had affected multiple financial firms since early 2007 reached critical mass. This incident compelled all financial institutions to take notice of their collateral positions and review their margin call processes.

In 2003 Warren Buffett called derivatives 'weapons of mass destruction'. Was he right?

Collateral Management

In financial terms, collateral is a property or other asset that a borrower offers as a way for a lender to secure a loan. Collateral management helps to reduce counterparty credit exposures, and is commonly used with over-the-counter derivatives like swaps and options.

Numerous regulations centred on reducing counterparty risk were released following the uncollateralised derivative activity of 2008. In the modern financial industry, collateral management has become a complex, multi-party process. Even large pension funds and sovereign wealth funds have begun exploring collateral transformation opportunities.

Using Derivatives

All collateral must meet strict eligibility criteria — the core idea being that if the collateral is of good quality, so too is the underlying derivative transaction. The industry then began to fear a 'collateral squeeze' would occur, where surplus demand would push prices up and make derivatives less profitable.

As of the date of writing, the predicted squeeze hadn't fully materialised. With new regulations requiring firms to share margin call data — and some firms having missed their deadlines — the industry remained on alert for what a full rollout could reveal.